

BECM 3107**CONSTRUCTION INSURANCE****Term Final Study Guide**

সহজ ব্যাখ্যা • প্রয়োজনীয় বাংলা অর্থ • স্মরণ কৌশল • প্রশ্নোত্তর

Course	Construction Contract and Law
Source lecture	Construction Insurance (44 slides/pages)
Designed for	Term-final understanding and fast revision
Included	Easy notes, Bangla meanings, mnemonics, model answers, MCQs

Prepared strictly from the uploaded lecture slides. Explanations simplify the lecture without replacing its terminology.

Study method: Read → Recall → Write → Check

A. How to Use This Guide

এই গাইড ব্যবহারের নিয়ম

1. Understand Read the easy explanation first. Do not memorize a sentence you do not understand.	2. Connect Link each insurance type with the person or property it protects.
3. Memorize Use the short codes and Bangla memory sentences shown in the coloured boxes.	4. Recall Close the guide and write the heading, definition, coverage, exclusions and example.
5. Practise Answer the probable questions and MCQs without looking at the answer key.	6. Revise Use the final two-page revision sheet on the night before the examination.

MEMORY: Best exam-writing formula: D-C-E-R

Definition → Coverage/Characteristics → Example or Exclusion → Result/Importance. বাংলা: সংজ্ঞা → কী কভার করে → উদাহরণ/বর্জন → গুরুত্ব।

Master Course Map | পুরো লেকচারের মানচিত্র

Block	Main idea	Quick key
Risk Management	Recognize, measure, protect, control and monitor project risk	RMP-CM
Insurance Basics	Risk transfer, indemnity, policy duties and premiums	Transfer, not eliminate
Policy Categories	First-party and third-party insurance	Own loss vs others' loss
CGL	Bodily injury, property damage, personal/advertising injury and medical payment	A-B-C
Workers' Compensation	Work-related employee injury	Worker at work
Builder's Risk	Accidental damage to property under construction	Project itself
Liability Insurance	Protection from lawsuits and similar liability claims	Legal claims
Professional Liability	A/E errors, omissions and failure to meet standard of care	E&O
OCIP / CCIP	Project-specific wrap-up programmes	Owner vs Contractor controlled
Automobile	Vehicle damage plus third-party BI/PD	Owned, leased, licensed

1. Risk and Risk Management

ঝুঁকি ও ঝুঁকি ব্যবস্থাপনা

Construction Risk | নির্মাণ ঝুঁকি

Construction risk is the chance that unexpected events may occur during a project and cause delays, increased costs, safety issues, quality problems or contractual disputes.

সহজ বাংলা: প্রকল্প চলাকালে অপ্রত্যাশিত ঘটনা ঘটে সময়, খরচ, নিরাপত্তা, গুণমান বা চুক্তিগত সমস্যা সৃষ্টি করার সম্ভাবনাই construction risk।

MEMORY: Five effects of construction risk

Delay – Cost – Safety – Quality – Dispute. Memory sentence: “সময়-খরচ-নিরাপত্তা-মান-বিরোধ”.

Management | ব্যবস্থাপনা

Management is the process of planning, organizing, leading and controlling resources to achieve goals efficiently and effectively.

বাংলা: নির্দিষ্ট লক্ষ্য দক্ষ ও কার্যকরভাবে অর্জনের জন্য সম্পদ পরিকল্পনা, সংগঠন, নেতৃত্ব এবং নিয়ন্ত্রণ করার প্রক্রিয়া।

MEMORY: POLC

Planning – Organizing – Leading – Controlling. বাংলা স্মৃতি: “পরিকল্পনা, আয়োজন, নেতৃত্ব, নিয়ন্ত্রণ”.

Applying Risk Management: 5 Steps | ঝুঁকি ব্যবস্থাপনার পাঁচ ধাপ

Step	Lecture meaning	সহজ বাংলা
Recognize	Identify the varied risks in the project	কোন কোন ঝুঁকি আছে তা চিহ্নিত করা
Measure	Quantify the financial exposure for each risk	প্রতিটি ঝুঁকির সম্ভাব্য আর্থিক ক্ষতি মাপা
Protect	Choose transfer, avoidance or retention	ঝুঁকি হস্তান্তর, এড়ানো বা নিজের কাছে রাখা
Control	Conduct loss-control and prevention programmes	ক্ষতি নিয়ন্ত্রণ ও প্রতিরোধ ব্যবস্থা নেওয়া
Monitor	Track and evaluate the risk programme	ফলাফল পর্যবেক্ষণ ও মূল্যায়ন করা

MEMORY: RMP-CM

Recognize → Measure → Protect → Control → Monitor. Story: “Risk চিনলাম, মাপলাম, সুরক্ষা নিলাম, নিয়ন্ত্রণ করলাম, তারপর নজর রাখলাম।”

2. Role of Insurance in Construction

নির্মাণে বীমার ভূমিকা

EXAM: Core principle

Insurance does not eliminate construction risk. It shifts much of the potential financial burden to a professional risk-bearer, the insurer.

বাংলা: বীমা ঝুঁকিকে দূর করে না; সম্ভাব্য আর্থিক দায়ের বড় অংশ insurer বা বীমাকারীর কাছে স্থানান্তর করে।

Risk Transfer The insured shifts part of the possible financial loss to the insurance company.	Active Partnership Insurers work with construction companies on risk management, not only after a loss.
Support Services Safety assessment, loss prevention, education and training, and site inspection.	Contract Protection Contracts may require the contractor to assume owner/A&E accident liability and provide insurance for owner protection.

MEMORY: Remember S-L-E-S

Safety assessment – Loss prevention – Education/training – Site inspection. বাংলা: নিরাপত্তা, ক্ষতি প্রতিরোধ, শিক্ষা, সাইট পরিদর্শন।

Why Send Contract Documents to the Insurer Before Bidding? | বিডের আগে insurer-কে দলিল পাঠানো কেন জরুরি?

1. The insurer is the specialist in evaluating project risks.
2. The contract or construction type may require special coverage.
3. Special risks affect the premium and coverage conditions.
4. The insurance cost must be included in the contractor's bid.

EXAM: Model one-line answer

The contractor should obtain the insurer's risk and coverage assessment before bidding so that required insurance and its cost are correctly included in the bid.

3. Insurance Policy: Meaning and Basic Rules

বীমা পলিসি: অর্থ ও মূল নিয়ম

Definition | সংজ্ঞা

An insurance policy is a contract in which the insurer, in return for consideration or premium, assumes financial responsibility for a specified loss or liability.

বাংলা: premium বা প্রতিদানের বিনিময়ে নির্দিষ্ট ক্ষতি বা দায়ের আর্থিক দায়িত্ব insurer গ্রহণ করে—এই চুক্তিই insurance policy।

Insurer's Main Duties | বীমাকারীর প্রধান দায়িত্ব

- Duty to defend: defend the contractor when the complaint alleges facts within the policy coverage.
- Duty to indemnify/cover: pay a valid covered loss up to the policy limit.

MEMORY: D-I

Defend and Indemnify. বাংলা: মামলা মোকাবিলায় রক্ষা + কভার্ড ক্ষতির ক্ষতিপূরণ।

Three Important Rules | তিনটি গুরুত্বপূর্ণ নিয়ম

Question	Lecture answer	Reason
Intentional act covered?	No	A contractor cannot recover for its own intentional loss.
Negligence or oversight covered?	Yes	These are not intentional acts, subject to policy coverage.
Can insured recover more than actual loss?	No	Insurance is for indemnity, not profit.

MEMORY: N-Y-N

Intentional act: No. Negligence: Yes. Profit from loss: No.

Valid Claim and Renewal | বৈধ দাবি ও নবায়ন

The insurer must pay a valid claim and normally has no recourse against the insured during the policy period. At renewal, the insurer may increase the premium or refuse renewal.

Safe work → fewer losses → lower insurance rates. তাই ভালো safety performance premium কমাতে সাহায্য করতে পারে।

4. First-Party and Third-Party Insurance

প্রথম পক্ষ ও তৃতীয় পক্ষের বীমা

Feature	First-party insurance	Third-party insurance
Whose loss?	The insured's own injury or property loss	Loss/injury caused to another person or property
Simple question	“আমার নিজের ক্ষতি?”	“আমার কারণে অন্যের ক্ষতি?”
Lecture examples	Property insurance, health insurance	Liability insurance
Construction link	Builder's risk protects project property	CGL protects against third-party BI/PD claims

MEMORY: Own vs Other

First party = own loss. Third party = others' loss. Vehicle insurance can include both.

Quick Scenario Test | দ্রুত পরিস্থিতি যাচাই

Scenario	Answer	Why
Fire damages the work under construction	First-party	Damage to the insured project property
A visitor is injured by site operations	Third-party	Another person suffers bodily injury
A truck is damaged and also injures another road user	Both	Own vehicle damage + third-party injury

5. Construction Contract Insurance Requirements

নির্মাণ চুক্তিতে বীমার প্রয়োজনীয়তা

Usually Required from the Contractor | ঠিকাদারের কাছ থেকে সাধারণত প্রয়োজন

- Workers' compensation insurance
- Employer's liability insurance
- Commercial/Comprehensive General Liability insurance

Usually Furnished by Owner or Contractor | Owner বা Contractor-এর মাধ্যমে

- Property insurance to protect the project
- Liability insurance to protect the owner

MEMORY: W-E-C + P-L

Worker, Employer, CGL + Property, Liability. বাংলা স্মৃতি: “শ্রমিক-নিয়োগকর্তা-সাধারণ দায়; প্রকল্প-Owner সুরক্ষা।”

Why Construction Insurance is Special | নির্মাণ বীমা বিশেষ কেন

- Construction work is hazardous; accidents may be frequent and severe.
- A contract may require a contractor to assume the owner's and A/E's legal liability for construction accidents.
- The contractor's insurance may protect parties other than the contractor and liabilities not originally its own.

6. Commercial General Liability (CGL)

কমার্শিয়াল জেনারেল লাইয়াবিলিটি

CGL is a standard business liability policy protecting against claims for bodily injury and property damage arising from premises, operations, products and completed operations, plus personal and advertising injury.

Contractor liable হলে insurer policy limit পর্যন্ত covered claim প্রদান করে।

Three Main Policy Components | পলিসির তিন অংশ

Component	What it does	বাংলা অর্থ
Declarations form	Names insureds; states period, territory and limits	বীমাভুক্ত ব্যক্তি, সময়, এলাকা ও সীমা
Coverage form	Sets the coverage agreement and main conditions	কভারেজের মূল নিয়ম
Endorsements	Add, modify or restrict coverage	কভারেজ যোগ, পরিবর্তন বা সীমিত করে

MEMORY: D-C-E

Declarations – Coverage – Endorsements.

Five Sections of the CGL Coverage Form | CGL ফর্মের পাঁচ অংশ

- Coverages
- Who Is an Insured
- Limits of Insurance
- Conditions
- Definitions

MEMORY: C-W-L-C-D

Coverages, Who insured, Limits, Conditions, Definitions.

7. CGL Coverage A, B and C

CGL-এর A, B ও C কভারেজ

Coverage	Meaning	Key lecture points
A	Bodily Injury and Property Damage Liability	Occurrence must be an accident not expected or intended by the insured.
B	Personal and Advertising Injury Liability	Includes libel, slander, invasion/attack of privacy and copyright breach linked to advertising.
C	Medical Payments	Pays certain medical costs regardless of fault; lecture examples include funeral expenses and passenger injury.

Key Definitions | মূল সংজ্ঞা

Term	Lecture meaning	বাংলা
Occurrence	Accident neither expected nor intended by the insured	বীমাভুক্ত ব্যক্তির দৃষ্টিতে অনাকাঙ্ক্ষিত দুর্ঘটনা
Bodily injury (BI)	Physical injury suffered by a person	শারীরিক আঘাত
Property damage (PD)	Physical injury to tangible property or loss of use	দৃশ্যমান সম্পত্তির ক্ষতি বা ব্যবহার হারানো
Personal injury (PI)	Certain personal/advertising offences	ব্যক্তিগত বা বিজ্ঞাপনজনিত আইনগত ক্ষতি

MEMORY: A-B-C

A = Accident injury/property. B = Bad words/advertising offences. C = Care/medical payments.

8. Workers' Compensation and Employer's Liability

শ্রমিক ক্ষতিপূরণ ও নিয়োগকর্তার দায়

Workers' compensation insurance is designed to cover workers injured in the course of employment.

সহজ বাংলা: কাজ করার সময় কর্মী আহত হলে এই বীমা তাকে সুরক্ষা দেয়।

MEMORY: Worker + Work

Workers' compensation = worker injured while doing employment-related work.

Important Limitation from the Lecture | গুরুত্বপূর্ণ সীমাবদ্ধতা

An injured worker may allege that the A/E or another contractor, rather than the employer, caused the injury.

Workers' compensation statutes do not themselves protect the A/E or those other contractors.

তাই project participants-এর জন্য অন্য liability coverage-ও গুরুত্বপূর্ণ।

Exam Difference | পরীক্ষায় পার্থক্য

Insurance	Primary protected interest	Typical trigger
Workers' compensation	Employee	Work-related bodily injury or illness
Employer's liability	Employer's liability exposure	Employee-related liability not fully handled by workers' compensation
CGL	Business against third-party claims	Third-party bodily injury/property damage

9. Project Property and Builder's Risk Insurance

প্রকল্প সম্পত্তি ও Builder's Risk

The lecture states that the general contractor is responsible for the project during construction. Builder's risk is property insurance for fortuitous or accidental damage to the project while it is under construction.

বাংলা: নির্মাণাধীন প্রকল্পে আকস্মিক ক্ষতি হলে project property-কে সুরক্ষা দেয় Builder's Risk।

EXAM: All risk ≠ every risk

An "all risk" policy covers causes of loss unless they are expressly excluded. Always check exclusions.

Who Buys It? | কে ক্রয় করে?

- The owner may buy it.
- Many owners require the contractor to provide it.
- A contractor can provide it, often at a higher cost than direct owner purchase according to the lecture.

What It May Cover | কী কী কভার করতে পারে

- First-party damage to project works
- Delay in start-up, if included
- Parties involved in construction
- Fire, lightning, wind, hail, flood and vandalism under the lecture's all-risk examples

10. Builder's Risk: Exclusions and Important Conditions

Builder's Risk-এর বর্জন ও গুরুত্বপূর্ণ শর্ত

Covered examples in lecture	Express exclusions in lecture
Fire	War
Lightning	Nuclear risk
Wind and hail	Faulty workmanship
Flood	Error in design
Vandalism	Other policy-specific exclusions may apply

Important Conditions | গুরুত্বপূর্ণ শর্ত

- Insure for full replacement cost.
- Include transit coverage where needed.
- Include off-site storage coverage where needed.
- The lecture emphasizes that it should be non-cancelable.

MEMORY: F-T-O-N

Full replacement – Transit – Off-site storage – Non-cancelable.

Builder's Risk vs CGL | পার্থক্য

Point	Builder's Risk	CGL
Category	First-party property insurance	Mainly third-party liability insurance
Protects	Project under construction	Business against BI/PD and other liability claims
Trigger	Accidental project damage	Liability claim from covered occurrence/offence
Typical time	Construction/project period	Usually renewable annually

11. Liability Insurance

দায়বদ্ধতা বীমা

Liability insurance is part of risk financing that protects the insured from liabilities imposed by lawsuits and similar claims.

বাংলা: মামলা বা অনুরূপ দাবির কারণে আইনগত দায় সৃষ্টি হলে insured-কে আর্থিক সুরক্ষা দেয়।

- Provided by project parties according to their roles and contract requirements.
- Covers bodily injury and property damage.
- The owner should be added as an additional insured to contractor/subcontractor policies where required.
- The lecture states that it includes coverage for damage to the project.
- Normally renewable annually.

Limitations and Exclusions from the Lecture | সীমা ও বর্জন

- Limits may be shared among all of the contractor's projects.
- No dedicated completed-operations limit, as stated in the lecture.
- Excludes intentional acts, automobile, workers' compensation and gradual pollution.

MEMORY: I-A-W-P

Intentional – Automobile – Workers' compensation – Pollution.

12. Professional Liability / Errors and Omissions (E&O)

পেশাগত দায় / ত্রুটি ও বাদ পড়া

Professional liability insurance covers damages caused by an architect/engineer's failure to perform according to the standard of care applicable to the profession.

বাংলা: পেশাগত standard of care অনুযায়ী কাজ না করা, negligent act, error বা omission-এর কারণে ক্ষতির দায় কভার করে।

Feature	Lecture point
Who usually carries it?	Consultants such as architects and engineers
What conduct?	Negligent act, error or omission
What loss?	Financial loss and also bodily injury/property damage as stated in the lecture
Limits	No dedicated project limits; covers the professional's work portfolio
Duration	Renewable annually
Additional insured	Owner cannot be added as an additional insured

MEMORY: N-E-O-S

Negligence – Error – Omission – Standard of care.

CGL vs Professional Liability | CGL ও Professional Liability

Point	CGL	Professional liability
Main risk	General business operations	Professional services and advice
Typical cause	Occurrence causing BI/PD	Negligent act, error or omission
Typical insured	Contractor/business	Architect, engineer, consultant
Owner as additional insured	May be added when required	Cannot be added, per lecture

13. OCIP and CCIP Wrap-Up Insurance

Owner/Contractor Controlled Wrap-Up Insurance

OCIP | Owner-Controlled Insurance Program

On a large project, the owner may purchase a single project insurance programme covering enrolled participants. It is also called wrap-up or project insurance.

CCIP | Contractor-Controlled Insurance Program

CCIP functions similarly, but the contractor controls the programme. The lecture states that cost savings pass to the owner.

Point	OCIP	CCIP
Controller	Owner	Contractor
Purpose	Project-specific wrap-up coverage	Project-specific wrap-up coverage
Participants	Enrolled project participants	Enrolled project participants
Main benefit	Cost saving, risk control, claims recovery	Cost saving, risk control, claims recovery
Typical use	Large projects	Large projects

MEMORY: O = Owner; C = Contractor

OCIP is owner-controlled, CCIP is contractor-controlled. Both are wrap-up programmes.

14. OCIP Features, Benefits and Limitations

OCIP-এর বৈশিষ্ট্য, সুবিধা ও সীমা

- Covers owner, contractor, subcontractor and consultants enrolled in the programme.
- Lecture excludes suppliers and security guards.
- Covers bodily injury and property damage.
- Uses the same exclusions as general liability.
- Excludes damage to the project.
- Provides dedicated limits.
- Covers the entire project term.
- Should be non-cancelable, as emphasized in the lecture.

Benefits of OCIP and CCIP | সুবিধা

- Cost savings
- Improved risk control
- Improved claims recovery
- Potentially higher limits than participants could obtain separately

MEMORY: C-R-C-H

Cost – Risk control – Claims recovery – Higher limits.

Limitation: programme administration is expensive, so the lecture says OCIP/CCIP are normally used on large projects.

15. General Liability vs Wrap-Up Liability

সাধারণ দায় বীমা বনাম **Wrap-Up**

Feature	General liability	Wrap-up liability
Policy basis	Operational policy of owner or contractor	Project-specific specialized GL policy
Renewal	Annually	One-time policy for project period
Insureds	Single entity and related firms	Multiple unrelated enrolled insureds
Limits	One limit shared across operations/projects	Dedicated to the project
Duration	Policy year	Definite start/finish plus fixed completed-operations period
Purpose	All insured operations	Limited to the specific project

MEMORY: Annual vs Project

General liability = annual operational policy. Wrap-up = one project, one programme, multiple participants.

16. Business Automobile Insurance

ব্যবসায়িক যানবাহন বীমা

- Covers physical damage to the vehicle.
- Covers third-party bodily injury and property damage.
- Should cover vehicles owned, leased or licensed.
- Should be provided by all relevant project parties.
- Should be endorsed to give the owner notice of cancellation.

MEMORY: O-L-L + Notice

Owned – Leased – Licensed vehicles, plus cancellation notice to owner.

Insurance Program Options for the Owner | Owner-এর বিকল্প

1. Require the contractor and subcontractors to provide necessary insurance.
2. Require the contractor to provide a single-project programme (CCIP).
3. Provide an owner-controlled programme (OCIP).
4. Use a combination of these arrangements.

17. Master Comparison of Construction Insurance Types

সব বীমার তুলনামূলক চিত্র

Insurance	Protects / Covers	Category / Key phrase
CGL	BI, PD, ongoing/completed operations, products, personal/advertising injury	Third-party liability; A-B-C
Business automobile	Vehicle physical damage and third-party BI/PD	Owned, leased, licensed
Workers' compensation	Employee work-related injury or illness	Worker at work
Employer's liability	Employer exposure relating to employee injury	Employer protection
Professional liability	Errors, omissions, negligence, standard-of-care failure	E&O; consultants
Builder's risk	Damage or loss to property under construction	First-party; project itself
OCIP	Enrolled project participants under owner-controlled wrap-up	Owner controlled
CCIP	Enrolled participants under contractor-controlled wrap-up	Contractor controlled

EXAM: Five core covers

CGL – Auto – Workers/Employer – Professional – Builder's Risk. This is the lecture's final insurance summary.

18. Essential Vocabulary with Bangla Meaning

প্রয়োজনীয় শব্দার্থ

English	বাংলা	English	বাংলা
Risk	ঝুঁকি	Exposure	সম্ভাব্য ক্ষতির পরিমাণ/ঝুঁকির মুখোমুখি অবস্থা
Risk transfer	ঝুঁকির আর্থিক দায় অন্যের কাছে স্থানান্তর	Insurer	বীমাকারী প্রতিষ্ঠান
Insured	বীমাভুক্ত ব্যক্তি/প্রতিষ্ঠান	Policy	বীমা চুক্তিপত্র
Premium	বীমার জন্য প্রদেয় মূল্য	Coverage	বীমা সুরক্ষার পরিধি
Policy limit	সর্বোচ্চ বীমা প্রদানের সীমা	Claim	ক্ষতিপূরণের দাবি
Valid claim	বৈধ দাবি	Indemnify	ক্ষতিপূরণ দিয়ে পূর্ব আর্থিক অবস্থায় ফিরিয়ে দেওয়া
Liability	আইনগত দায়	Bodily injury	শারীরিক আঘাত
Property damage	সম্পত্তির ক্ষতি	Occurrence	অনাকাঙ্ক্ষিত দুর্ঘটনাজনিত ঘটনা
Exclusion	বীমা কভারেজ থেকে বাদ দেওয়া বিষয়	Endorsement	পলিসির সংশোধন/সংযোজন
Named insured	পলিসিতে নামযুক্ত মূল বীমাভুক্ত	Additional insured	অতিরিক্ত বীমাভুক্ত পক্ষ
Declarations form	পলিসির পরিচয়, সময়, সীমা ইত্যাদির ঘোষণাপত্র	Workers' compensation	কর্মক্ষেত্রে আহত শ্রমিকের ক্ষতিপূরণ বীমা
Builder's risk	নির্মাণাধীন প্রকল্প সম্পত্তির বীমা	Fortuitous	আকস্মিক/দৈবঘটিত
Replacement cost	সম্পূর্ণ পুনঃস্থাপন ব্যয়	Transit coverage	পরিবহনের সময় কভারেজ
Off-site storage	সাইটের বাইরে সংরক্ষিত সামগ্রী	Professional liability	পেশাগত দায় বীমা
Error and omission	ত্রুটি ও বাদ পড়া	Standard of care	পেশাগতভাবে প্রত্যাশিত যত্নের মান
Wrap-up insurance	এক প্রকল্পের বহু পক্ষের সমন্বিত বীমা	Non-cancelable	সহজে বাতিল করা যাবে না এমন
Renewal	নবায়ন		

19. Master Memory Codes

সব স্মরণ কৌশল একসাথে

Code	Meaning	বাংলা স্মৃতি
RMP-CM	Recognize, Measure, Protect, Control, Monitor	চিনি-মাপি-সুরক্ষা-নিয়ন্ত্রণ-নজর
SLES	Safety, Loss prevention, Education, Site inspection	নিরাপত্তা-ক্ষতি-শিক্ষা-পরিদর্শন
D-I	Defend and Indemnify	মামলা রক্ষা + ক্ষতিপূরণ
N-Y-N	Intentional no, negligence yes, profit no	ইচ্ছাকৃত না; অবহেলা হ্যাঁ; লাভ না
DCE	Declarations, Coverage, Endorsements	পরিচয়-সুরক্ষা-সংশোধন
ABC	CGL Coverage A, B, C	Accident; Bad words; Care
FTON	Full replacement, Transit, Off-site, Non-cancelable	পূর্ণ-পরিবহন-বাইরে-বাতিল নয়
I-A-W-P	Intentional, Auto, Workers, Pollution exclusions	ইচ্ছাকৃত-যান-শ্রমিক-দূষণ
NEOS	Negligence, Error, Omission, Standard of care	অবহেলা-ত্রুটি-বাদ-মান
CRCH	Cost, Risk, Claims, Higher limits	খরচ-ঝুঁকি-দাবি-উচ্চ সীমা

STORY: One-story memory

“Risk চিনে মাপলাম; insurer দিয়ে financial burden transfer করলাম; CGL অন্যের injury, Builder’s Risk প্রকল্প, Workers কর্মী, Professional consultant-এর error; বড় project-এ OCIP/CCIP.”

20. Probable Term-Final Questions

সম্ভাব্য পরীক্ষার প্রশ্ন

Long Questions | রচনামূলক

1. Define construction risk and explain the five steps of applying risk management.
2. Explain the role of insurance in construction risk management.
3. Define an insurance policy and discuss the duties of an insurer.
4. Distinguish between first-party and third-party insurance with construction examples.
5. Explain Commercial General Liability insurance and its major policy components.
6. Describe Coverage A, B and C of a CGL policy.
7. Explain workers' compensation insurance and its limitation regarding A/E and other contractors.
8. Define Builder's Risk insurance and discuss coverage, exclusions and important conditions.
9. Explain professional liability/E&O insurance and the standard of care.
10. Distinguish OCIP and CCIP and state their benefits.
11. Compare general liability and wrap-up liability.
12. Write a note on business automobile insurance and cancellation notice.

Short Questions | সংক্ষিপ্ত

- Why should contract documents be sent to the insurer before bidding?
- Can an insured profit from a loss?
- What is an additional insured?
- What is an occurrence?
- What is the difference between policy limit and replacement cost?
- Why should Builder's Risk include transit and off-site storage?
- Why are OCIP/CCIP generally used for large projects?

21. Model Answer 1: Role of Insurance

নমুনা উত্তর

Question: Explain the role of insurance in construction risk management.

Answer Structure | উত্তরের কাঠামো

1. Definition/Opening: Insurance is a risk-transfer mechanism; it does not eliminate risk.
2. Financial role: It shifts much of the potential financial burden to the insurer.
3. Partnership role: Insurers assist contractors before losses occur.
4. Services: Safety assessment, loss prevention, training and site inspection.
5. Contract role: Construction contracts may require insurance to protect the owner and other parties.
6. Conclusion: Insurance combines financial protection and active risk control.

MODEL: Compact model answer

Insurance does not remove construction risk; it transfers much of the financial effect to a professional insurer. The insurer indemnifies covered losses, defends covered claims and supports risk management through safety assessment, loss-prevention programmes, training and site inspection. Construction contracts therefore use insurance to protect contractors, owners and other project participants.

22. Model Answer 2: Builder's Risk

নমুনা উত্তর

Question: Define Builder's Risk and discuss its coverage and exclusions.

MODEL: Compact model answer

Builder's Risk is first-party property insurance protecting a project against fortuitous damage while it is under construction. The lecture describes it as an all-risk policy, meaning causes of loss are covered unless excluded. Examples include fire, lightning, wind, hail, flood and vandalism. Listed exclusions include war, nuclear risk, faulty workmanship and design error. The policy should insure full replacement cost, address transit and off-site storage, and be non-cancelable.

23. Model Answer 3: CGL

নমুনা উত্তর

Question: Explain Commercial General Liability insurance and its coverages.

MODEL: Compact model answer

CGL is a standard business liability policy protecting against bodily injury and property damage claims arising from premises, operations, products and completed operations, as well as personal and advertising injury. A typical policy includes declarations, a coverage form and endorsements. The coverage form includes five sections and three main coverages: A for bodily injury/property damage, B for personal and advertising injury, and C for medical payments. Covered claims are paid up to policy limits.

24. Model Answer 4: OCIP vs CCIP

নমুনা উত্তর

MODEL: Compact model answer

OCIP and CCIP are project-specific wrap-up insurance programmes. In an OCIP, the owner controls the programme; in a CCIP, the contractor controls it. Both may cover enrolled project participants under a common set of policies. Their principal benefits are cost saving, improved risk control, better claims recovery and potentially higher project-specific limits. Because administration is costly, they are normally used for large projects.

25. Practice MCQs

অনুশীলনী বহুনির্বাচনী

1. Insurance primarily does what to construction risk?
 - A. Eliminates it
 - B. Transfers financial burden
 - C. Guarantees no accident
 - D. Removes contractual disputes
2. Which is the first step in the lecture's risk-management process?
 - A. Control
 - B. Measure
 - C. Recognize
 - D. Monitor
3. Which service is not listed as an insurer's risk-management service?
 - A. Safety assessment
 - B. Loss prevention
 - C. Site inspection
 - D. Preparing structural design
4. The insurer's duty to pay a covered loss is called:
 - A. Exclusion
 - B. Indemnity
 - C. Retention
 - D. Endorsement
5. Loss caused by the contractor's own intentional act is:
 - A. Recoverable
 - B. Recoverable twice
 - C. Not recoverable
 - D. Always a third-party loss
6. First-party insurance protects primarily:
 - A. The insured's own loss
 - B. The insurer
 - C. Courts
 - D. Subcontract bids
7. CGL Coverage A relates to:
 - A. Medical payment only
 - B. BI and PD liability
 - C. Professional error
 - D. Project property
8. Libel and slander are associated with:
 - A. Coverage B
 - B. Builder's Risk
 - C. Workers' compensation
 - D. OCIP only
9. Workers' compensation covers workers injured:
 - A. At any time
 - B. In the course of employment
 - C. Only after project completion
 - D. By intentional acts only
10. Builder's Risk is mainly:
 - A. Professional liability
 - B. First-party property insurance
 - C. Automobile liability
 - D. Bid security
11. "All risk" means:
 - A. No exclusions exist
 - B. All causes are covered unless expressly excluded
 - C. All parties receive cash
 - D. The policy never ends
12. Which is listed as a Builder's Risk exclusion?
 - A. Fire
 - B. Lightning
 - C. Faulty workmanship
 - D. Vandalism
13. Professional liability is also called:
 - A. CGL
 - B. E&O

- C. OCIP
- D. WC

14. Professional liability mainly concerns failure to meet:

- A. Bid price
- B. Standard of care
- C. Penal sum
- D. Project schedule only

15. OCIP is controlled by the:

- A. Owner
- B. Contractor
- C. Bank
- D. Worker

16. CCIP is controlled by the:

- A. Architect
- B. Owner
- C. Contractor
- D. Insurer only

17. Wrap-up liability is:

- A. Annual and unrelated to projects
- B. Project-specific
- C. Only vehicle insurance
- D. A bond

18. Automobile insurance should cover vehicles:

- A. Owned only
- B. Leased only
- C. Licensed only
- D. Owned, leased or licensed

19. The owner should receive notice of automobile-policy:

- A. Premium calculation
- B. Cancellation
- C. Tender opening
- D. Design error

20. The lecture's final summary includes all except:

- A. CGL
- B. Builder's Risk
- C. Professional Liability
- D. Bid Bond

26. MCQ Answer Key and Quick Explanations

উত্তর ও সংক্ষিপ্ত ব্যাখ্যা

No.	Answer	Why
1	B	Insurance transfers financial burden; it does not eliminate risk.
2	C	Recognize is step 1.
3	D	Structural design is not listed as insurer support service.
4	B	Indemnity means covering a valid loss.
5	C	Intentional loss is not recoverable.
6	A	First party = own loss.
7	B	Coverage A is BI/PD liability.
8	A	Libel/slander fall under personal/advertising injury.
9	B	The injury must arise in the course of employment.
10	B	Builder's Risk protects property under construction.
11	B	All-risk remains subject to exclusions.
12	C	Faulty workmanship is listed as an exclusion.
13	B	E&O means errors and omissions.
14	B	Professional standard of care is central.
15	A	O in OCIP = Owner.
16	C	C in CCIP = Contractor.
17	B	Wrap-up is project-specific.
18	D	The lecture lists owned, leased and licensed vehicles.
19	B	The owner should receive cancellation notice.
20	D	Bid bond belongs to surety bonds, not the insurance summary.

27. Active Recall Quiz

বই বন্ধ করে উত্তর দিন

1. Write the five steps of risk management in correct order.

2. Explain in one sentence why insurance does not eliminate risk.

3. State the two duties of the insurer.

4. Give one difference between first-party and third-party insurance.

5. List the three components of a typical CGL policy.

6. Write the three CGL coverages A, B and C.

7. Define occurrence.

8. Who is protected by workers' compensation?

9. Define Builder's Risk and name four covered perils.

10. Write four Builder's Risk exclusions/conditions.

11. What is professional liability and who usually provides it?

12. Give two differences between OCIP and CCIP.

13. Why are OCIP/CCIP used mainly on large projects?

14. List four features of automobile insurance.

28. Exam-Writing Strategy

পরীক্ষার উত্তর লেখার কৌশল

For a 5-Mark Answer | ৫ নম্বর

1. Definition – 1 mark
2. Three or four main features – 2 marks
3. One example/exclusion/comparison – 1 mark
4. Short conclusion – 1 mark

For a 10-Mark Answer | ১০ নম্বর

1. Start with a precise definition.
2. Use clear subheadings: purpose, parties, coverage, exclusions, importance.
3. Add one comparison table or mnemonic where relevant.
4. Use lecture terminology such as indemnify, policy limit, additional insured and standard of care.
5. Conclude with how the insurance manages construction risk.

WARNING: Never mix up

Builder's Risk protects the project property; CGL protects against liability claims; Professional Liability protects against professional errors; Workers' Compensation protects employees.

29. Final Revision Sheet - Page 1

শেষ মুহূর্তের রিভিশন

Topic	One-line recall
Risk	Unexpected event causing delay, cost, safety, quality or dispute.
Risk steps	Recognize – Measure – Protect – Control – Monitor.
Insurance role	Transfers financial burden; does not remove risk.
Insurer duties	Defend and indemnify covered claims.
First party	Insured's own injury/property loss.
Third party	Injury/property loss caused to others.
CGL	BI/PD + personal/advertising injury + medical payments.
Workers' compensation	Employee injured in course of employment.
Builder's Risk	Accidental damage to project during construction.
Professional liability	A/E negligence, error, omission, standard of care.

Four Must-Know Comparisons | চারটি আবশ্যিক পার্থক্য

- First party vs Third party: own loss vs others' loss.
- Builder's Risk vs CGL: project property vs liability claim.
- CGL vs Professional: operational occurrence vs professional error/omission.
- General liability vs Wrap-up: annual single-entity policy vs project-specific multi-party policy.

30. Final Revision Sheet - Page 2

শেষ মুহূর্তের রিভিশন

Insurance	Key persons/property	Memory word
CGL	Third parties and business liability	A-B-C
Workers' compensation	Employee	Worker-at-work
Builder's Risk	Project under construction	Project itself
Professional liability	Architect/Engineer/Consultant	E&O
OCIP	Enrolled project parties	Owner controls
CCIP	Enrolled project parties	Contractor controls
Automobile	Owned/leased/licensed vehicles	O-L-L

FINAL: 60-second oral revision

“Risk পাঁচ ধাপে manage করি. Insurance risk সরায় না, financial burden transfer করে. Own loss first party, other loss third party. CGL liability, Builder's Risk project, Workers employee, Professional E&O. বড় project-এ OCIP owner-controlled, CCIP contractor-controlled.”

Suggested Spaced Revision | পুনরাবৃত্তির সময়সূচি

Time	Action
Today	Read and underline definitions and comparison tables.
After 24 hours	Write all memory codes without looking.
After 3 days	Answer probable long questions in outline form.
After 7 days	Complete MCQs and active-recall quiz.
Night before exam	Use only the two final revision pages.

Source basis: Uploaded lecture “Construction Insurance”, BECM 3107, 44 pages/slides.